

**BEFORE THE STATE CONSUMER DISPUTES REDRESSAL COMMISSION,
MAHARASHTRA**

F.A. No. 118 of 2026

Sanchay Life Insurance Company Limited

... *APPELLANT*

VERSUS

Sunita Deshpande

... *RESPONDENT*

**FIRST APPEAL UNDER SECTION 41 OF THE CONSUMER PROTECTION
ACT, 2019**

1. The Appellant (Opposite Party before the DCDRC) is aggrieved by the order dated 12.03.2026 allowing the complaint and directing payment of the sum assured with interest, compensation and costs.
2. The Appellant craves leave to file this appeal under Section 41 of the Consumer Protection Act, 2019 on the following grounds, urged without prejudice to one another.

GROUND OF APPEAL

- a. The DCDRC erred in holding that a blank answer in the Proposal Form does not amount to suppression of a material fact, contrary to the settled principle that the duty of utmost good faith requires a proposer to answer every material question, and a failure to do so is itself a breach of that duty.
- b. The DCDRC erred in discounting the Investigator's Report and the physician's note referred to therein merely on account of a variance in the recorded date, without appreciating that the substance of the finding, namely the existence of a hypertension diagnosis, remained unrebutted by any positive evidence from the Complainant.
- c. The DCDRC erred in placing reliance on the hospital's reply dated 15.07.2025, which is a bare administrative communication and does not amount to conclusive proof of the absence of any consultation, particularly in the absence of the underlying OPD register itself being produced and proved.
- d. The DCDRC erred in treating the Underwriting File Note dated 25.04.2022 as amounting to a waiver of the Opposite Party's right to investigate and rely upon non-disclosure at the claim stage, non-medical acceptance at proposal stage being an underwriting convenience and not a waiver of the duty of disclosure.
- e. The DCDRC erred in awarding compensation for mental agony and harassment and costs, in the absence of any finding of mala fide or wilful conduct on the part of the Opposite Party, who acted upon a bona fide professional investigation.

PRAYER

- a. Set aside the order of the DCDRC dated 12.03.2026;
- b. Dismiss the complaint with costs throughout.

VERIFICATION

I, the Authorised Representative of the Appellant, verify that the contents of paragraphs 1 to 2 and

grounds (a) to (e) above are true to my knowledge and belief and correct as advised.

Verified at Mumbai on this the 25th day of April, 2026.

For Sanchay Life Insurance Company Limited
(Authorised Representative, Claims Department)

Mr. Abhishek Bhatnagar, Advocate for the Opposite Party
Enrolment No. UP/7932/2000

ANNEXURE 1
CERTIFIED COPY OF THE IMPUGNED ORDER DATED 12.03.2026

BEFORE THE DISTRICT CONSUMER DISPUTES REDRESSAL COMMISSION, PUNE
CC/441/2025

ORDER

Date of Order: 12.03.2026
Coram: President and Members, DCDRC Pune

1. Heard the learned counsel for the Complainant and the learned counsel for the Opposite Party, and perused the record including the pleadings, documentary evidence and written arguments filed by both sides.
2. The following points arise for determination: (i) whether an unanswered field in the Proposal Form amounts to suppression of a material fact; (ii) whether the factual basis of the repudiation is established; and (iii) whether the Opposite Party is liable for deficiency in service.
3. It is not in dispute that Policy No. SLIC-4471-208833 was issued on 28.04.2022 for a sum assured of Rs. 12,00,000, that three annual premiums were duly paid, and that the Life Assured passed away on 14.02.2025 of cardiac arrest during the currency of the Policy.
4. The claim was repudiated solely on the ground that the Life Assured had allegedly been diagnosed with hypertension prior to the proposal, a fact said to have been suppressed by leaving the relevant field in the Proposal Form unanswered.
5. On a careful reading of the Proposal Form (Annexure A-1), this Commission finds that the field in question was left blank rather than answered in the negative. A blank answer is at best equivocal and, without independent proof that the fact existed and was known to the proposer, cannot by itself amount to suppression of a material fact.
6. The Opposite Party's own documents do not inspire confidence on the factual basis of the repudiation. The Repudiation Letter records the alleged diagnosis as dated 14.02.2021, while the Investigator's Report attributes the same physician's note to 24.02.2021 -- an unexplained inconsistency going to the very root of the repudiation ground.
7. More significantly, the reply of Sassoon General Hospital dated 15.07.2025, placed on record by the Complainant, states in terms that its OPD register discloses no entry for the Life Assured on either of the two dates relied upon by the Opposite Party. The Opposite Party has not seriously disputed the authenticity of this reply, save to describe it as a bare denial.
8. This Commission also notes the Opposite Party's own Underwriting File Note dated 25.04.2022 (Annexure R-2), which shows that the blank field was noticed at the underwriting stage itself and the proposal was accepted in the ordinary course without any query being raised. Having accepted the risk and received premiums for three years without demur, it does not lie in the Opposite Party's mouth to treat the same blank, only upon a claim being made, as a fatal suppression.
9. For the above reasons, this Commission holds points (i) and (ii) in favour of the Complainant. The repudiation of an otherwise genuine claim, on a ground that is both legally insufficient and factually unsubstantiated, constitutes deficiency in service and unfair trade practice within the meaning of Section 2(11) of the Consumer Protection Act, 2019, answering point (iii) as well.
10. The complaint is accordingly allowed. The Opposite Party is directed to pay to the Complainant the sum assured of Rs. 12,00,000 with interest at 9% per annum from the date of repudiation, namely 10.06.2025, till the date of realisation, together with compensation of Rs. 75,000 for mental agony and harassment and costs of Rs. 25,000, all within sixty days of this order, failing which the amount shall carry further interest at 12% per annum until payment.